SCHUMACHER

Trade Account Segmentation Report

RFM-Based K-Means Clustering Analysis | Full-Year 2025 | 27,374 Trade Accounts

Summary

This report presents the results of an RFM (Recency, Frequency, Monetary) clustering analysis applied to Schumacher's trade account base. Using K-Means clustering (k=4) on log-normalized, standardized RFM features, 27,374 accounts were segmented into four behaviourally distinct groups. The analysis reveals a highly concentrated revenue structure, with a small Champions segment driving the majority of sales, alongside a large at-risk population representing a significant win-back opportunity.

Cluster Overview

Cluster	Name	Accounts	Avg Revenue	Recency	Priority
2	**Champions**	8,103	$10,680	25 days	**Retain**
0	**At-Risk / Lapsed**	9,655	$2,737	126 days	**Win-Back**
3	**New Prospects**	3,316	$14	36 days	**Nurture**
1	**Hibernating / Lost**	6,300	$1	181 days	**Re-engage lightly**

Methodology

RFM features were computed at the trade account level from 1,983,549 transactions spanning January through December 2025. Features were log-transformed to reduce skew and then standardized using StandardScaler prior to clustering. The optimal number of clusters was determined via the elbow method (inertia vs. k). Cluster assignments were generated using fit_predict(), which directly returns the nearest centroid label for each account based on Euclidean distance in scaled feature space.

Cluster Profiles

🏆 Cluster 2 — Champions

Accounts	8,103
Avg. Revenue per Account	$10,680
Avg. Recency	25 days
Avg. Order Frequency	22.8 orders
Share of Total Accounts	29.6%

Champions are the highest-value active designers in the Schumacher trade ecosystem. They purchase frequently, spend significantly, and have engaged within the last 25 days on average. Despite representing under 30% of accounts, this group drives a disproportionate share of total revenue, consistent with a Pareto concentration pattern observed across the broader dataset.

Recommended Actions

- White-glove account management with dedicated sales rep assignment
- Early access programs for new collection launches
- Loyalty incentives and exclusive trade pricing tiers
- Proactive outreach before seasonal buying cycles

⚠ Cluster 0 — At-Risk / Lapsed

Accounts	9,655
Avg. Revenue per Account	$2,737
Avg. Recency	126 days
Avg. Order Frequency	4.9 orders
Share of Total Accounts	35.2%

At-Risk accounts represent the most strategically important segment for immediate action. These designers have demonstrated meaningful purchase intent historically, averaging $2,737 per account, but have not engaged in approximately four months. They are not yet lost, but the window for re-engagement is narrowing. The combination of historical value and current inactivity makes this the highest-ROI target for win-back investment.

Recommended Actions

- Personalized win-back outreach referencing their specific past purchase categories
- Targeted sampling of new arrivals aligned to previously sampled motifs
- Time-limited trade incentives to create urgency without devaluing the brand
- Sales rep check-in calls for accounts with historical spend above $5,000

Cluster 3 — New Prospects

Accounts	3,316
Avg. Revenue per Account	$14
Avg. Recency	36 days
Avg. Order Frequency	4.8 orders
Share of Total Accounts	12.1%

New Prospects are actively engaged in sampling activity but have not yet converted to purchase. Their recency (36 days) confirms they are currently in market, but near-zero monetary value indicates they remain in the evaluation phase. Conversion analysis from Notebook 03 established that accounts require an average of 37 samples before a first sale, meaning many of these accounts are still within a normal pre-purchase nurture window.

Recommended Actions

- Sustained sampling support without aggressive sales pressure
- Educational content: lookbooks, project inspiration, and specification guides
- Flag accounts approaching the 37-sample threshold for priority sales outreach
- Monitor velocity: accounts requesting 10+ samples in 30 days are highest-probability converters

Cluster 1 — Hibernating / Lost

Accounts	6,300
Avg. Revenue per Account	$1
Avg. Recency	181 days
Avg. Order Frequency	2.3 orders
Share of Total Accounts	23.0%

Hibernating accounts have been inactive for approximately six months and show near-zero lifetime revenue. These are effectively churned accounts. The cost of aggressive re-engagement campaigns targeted at this segment is unlikely to generate positive ROI given both the recency gap and the low historical spend. A lightweight, low-cost re-engagement sequence is appropriate, after which unresponsive accounts should be deprioritized in sample allocation and sales effort planning.

Recommended Actions

- Single automated re-engagement email sequence (2-3 touches maximum)
- Suppress from high-cost outreach programs and sample priority queues
- Re-qualify any respondents into the appropriate active segment
- Review quarterly: accounts showing activity should be re-clustered

Strategic Recommendations

Based on the segmentation findings, the following prioritization framework is recommended for sales and marketing resource allocation:

- **Protect the Champions** (Cluster 2). Revenue concentration risk is high — losing even a small number of these accounts has outsized impact. Dedicated retention investment is justified.
- **Activate the At-Risk segment** (Cluster 0) immediately. This is the highest-opportunity segment: historically proven buyers who are disengaging. A structured win-back program targeting this group should be the top commercial priority.
- **Nurture New Prospects** (Cluster 3) patiently. Forcing conversion before the 37-sample threshold is counterproductive. Invest in education and product exposure rather than sales pressure.
- **Deprioritize Hibernating accounts** (Cluster 1). Redirect the resources currently spent on low-probability outreach toward Clusters 0 and 3 where conversion probability is meaningfully higher.